

1 ENGROSSED SENATE
2 BILL NO. 1930

By: Green of the Senate

3 and

4 Moore of the House

5
6 An Act relating to brine; amending 17 O.S. 2021,
7 Sections 501, 502, 503, 504, 506, 507, 508, 510, 516,
8 517, and 519, which relate to the Oklahoma Brine
9 Development Act; expanding purpose; modifying and
10 adding definitions; clarifying certain exception;
11 modifying provisions of certain application;
12 modifying description of certain evidential findings;
13 requiring certain orders remain applicable and serve
14 as certain guidelines; removing certain single source
15 of supply requirement; authorizing Corporation
16 Commission to make units certain size and shape;
17 requiring brine owners proportionally share produced
18 water; requiring certain measurements of gross
19 production; modifying certain plan requirements;
20 modifying description of certain owners; authorizing
21 proposed operator to seek certain emergency relief;
22 requiring Commission grant relief upon certain
23 showing; granting proposed operator right to collect
24 certain proceeds; requiring set royalty be held in
suspense until final order establishes unit;
detailing requirements for certain royalty rate;
modifying provisions related to changing size of
certain unit; expanding applicability to include
produced water; stating certain inapplicability;
expanding applicability of act to certain units;
making language gender neutral; updating statutory
language and references; and providing an effective
date.

22 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

23 SECTION 1. AMENDATORY 17 O.S. 2021, Section 501, is
24 amended to read as follows:

1 Section 501. The Legislature finds that it is desirable and
2 necessary to authorize and provide for unitized management,
3 operation, and further development of brine and associated solution
4 gas, to the end that a greater ultimate recovery of brine and
5 solution gas may be had, waste prevented, and the correlative rights
6 of owners therein be protected. In addition, the Legislature finds
7 that it is a desirable public policy and necessity to reduce
8 disposal of brine water, also referred to as produced water, from
9 oil and gas operations and encourage reuse, recycling, and
10 reclaiming of such water and extraction of its constituent elements
11 included therein. It is further found to be in the public interest
12 to foster, encourage, and promote the development and production ~~in~~
13 ~~the State of Oklahoma~~ of brine, produced water, and solution gas in
14 this state and to authorize and provide for the operation and
15 development of unitized brine and solution gas properties, and to
16 authorize the Corporation Commission to regulate brine, produced
17 water, and solution gas production. Produced water subject to the
18 jurisdiction of the Oil and Gas Produced Water and Waste Recycling
19 and Reuse Act shall not be governed by the Oklahoma Brine
20 Development Act unless the produced water is intended to be or is
21 processed for the commercial extraction and sale of constituent
22 elements, or any one of such elements.

23 SECTION 2. AMENDATORY 17 O.S. 2021, Section 502, is
24 amended to read as follows:

1 Section 502. As used in ~~this act~~ the Oklahoma Brine Development

2 Act:

3 1. ~~"Commission" shall mean the Corporation Commission of~~
4 ~~Oklahoma;~~

5 2. ~~"Person" shall include any individual, partnership,~~
6 ~~corporation or association of whatever character;~~

7 3. ~~"Common source of supply" shall include that area which is~~
8 ~~underlain, or which from geological or other scientific data, or~~
9 ~~from drilling operations, or other evidence, appears to be underlain~~
10 ~~by a common accumulation of brine; provided, that, if any such area~~
11 ~~is underlain or appears from geologic or other scientific data, or~~
12 ~~from drilling operations, or from other evidence to be underlain by~~
13 ~~more than one common accumulation of brine separated from each other~~
14 ~~by a strata of earth and not connected with each other, then such~~
15 ~~area, as to each said common accumulation of brine, shall be deemed~~
16 ~~a separate common source of supply;~~

17 4. "Associated oil or gas production" means the oil or gas
18 produced from an oil or gas well from which produced water is
19 extracted as an incident to the production of the oil or gas and the
20 produced water is utilized for the purpose of extracting its
21 constituent elements therefrom;

22 2. "Brine" shall mean means subterranean saltwater salt water
23 and all of its constituent parts and chemical substances therein
24 contained, including, but not limited to, bromine, magnesium,

1 potassium, lithium, boron, chlorine, iodine, calcium, strontium,
2 sodium, ~~sulphur~~ sulfur, barium, or other chemical substances
3 produced with or separated from ~~such saltwater~~ the salt water.

4 ~~Brine produced as an incident to the production of oil or gas,~~
5 ~~unless such brine is saved or sold for the purposes of removing~~
6 ~~chemical substances therefrom, shall not be considered brine for the~~
7 ~~purposes of this act.~~ Gas, whether found in solution or otherwise,
8 shall not be included within the meaning of the term "~~brine~~" brine;

9 ~~5.~~ 3. "Brine owner" ~~shall mean~~ means any person entitled to
10 share in the proceeds from the sale of brine production or produced
11 water from which constituent elements are recovered from the brine
12 production or produced water, or the effluent;

13 ~~6. "Solution gas" shall mean all gas produced from brine wells~~
14 ~~from the brine common source of supply within the unit area;~~

15 ~~7. "Solution gas owner" shall mean any person entitled to share~~
16 ~~in the proceeds from the sale of solution gas;~~

17 ~~8. "Owner" or "owners", unless a more specific term is used,~~
18 ~~shall mean any person or entity who qualifies as either a brine~~
19 ~~owner or a solution gas owner;~~

20 ~~9. "Operator" shall mean a person who has the right to drill~~
21 ~~into and produce from any brine common source of supply and to~~
22 ~~appropriate that production, either for himself, or for himself and~~
23 ~~others, and is authorized by the Commission to drill;~~

1 ~~10. "Effluent" shall mean the liquid remaining after extraction~~
2 ~~of the chemical substances from brine;~~

3 ~~11. 4. "Brine production unit" or "unit" shall mean~~ means each
4 separate specific area of land so designated by order of the
5 Commission for production of brine and associated solution gas ~~and~~
6 from brine wells, including the related injection of effluent;

7 ~~12. "Injection well" shall mean a well authorized by the~~
8 ~~Commission for the injection of effluent or other solutions; and~~

9 ~~13. "Manufacture" shall mean the complete process of drilling,~~
10 ~~completing, equipping and operating production and injection wells~~
11 ~~and of extracting and packaging brine~~

12 5. "Brine well" means a well specifically drilled or operated
13 for the primary purpose of extracting brine and shall not include a
14 well drilled or operated for the primary purpose of producing oil or
15 gas;

16 6. "Commission" means the Corporation Commission;

17 7. "Common source of supply" means the area that is underlain
18 or which, from geological or other scientific data, from drilling
19 operations, or from other evidence, appears to be underlain by a
20 common accumulation of brine. If any area is underlain or appears,
21 from geological or other scientific data, from drilling operations,
22 or from other evidence, to be underlain by more than one common
23 accumulation of brine separated from each other by a strata of earth
24 and not connected with each other, then the area, as to each such

1 common accumulation of brine, shall be deemed a separate common
2 source of supply. In either circumstance of a brine production unit
3 or produced water unit, brine may be produced from multiple common
4 sources of supply from one or more oil or gas wells or one or more
5 brine wells, which shall all be considered the common source of
6 supply for purposes of the Oklahoma Brine Development Act;

7 8. "Constituent elements" means salts, metals, elements, and
8 other mineralized substances that are dissolved, entrained, or
9 suspended in subterranean water. The term shall not include skim
10 oil or hydraulic fracturing fluid;

11 9. "Effluent" means the liquid remaining after extraction of
12 the chemical substances from brine;

13 10. "Extracted constituent element" means any constituent
14 element extracted from the produced water through reconditioning or
15 treating of the produced water by mechanical or chemical processes
16 that is saved and commercially utilized or sold;

17 11. "Injection well" means a well authorized by the Commission
18 for the injection of effluent or other solutions;

19 12. "Manufacture" means the complete process of drilling,
20 completing, equipping, and operating production and injection wells
21 and of extracting and packaging brine;

22 13. "Oil or gas well" means a well drilled or operated for the
23 primary purpose of extracting oil or gas as such terms are defined
24 in Section 86.1 of Title 52 of the Oklahoma Statutes;

1 14. "Operator" means a person who has the right to drill into
2 and produce from any brine common source of supply and to
3 appropriate that production, either for the operator or the operator
4 and others, or to extract the constituent elements of brine produced
5 as an incident to the production of oil and gas, and is authorized
6 by the Commission to drill or extract the constituent elements of
7 brine;

8 15. "Owner" means, unless a more specific term is used, any
9 person or entity who qualifies as either a brine owner or a solution
10 gas owner;

11 16. "Person" means any individual, partnership, corporation, or
12 association of whatever character;

13 17. "Produced water" means the subterranean salt water and the
14 other liquid waste associated with, incidental to, or extracted
15 during oil and gas drilling, completion, or production processes.
16 Produced water subject to the jurisdiction of the Oil and Gas
17 Produced Water and Waste Recycling and Reuse Act shall not be
18 governed by the Oklahoma Brine Development Act, unless the produced
19 water is intended to be or is processed for the commercial
20 extraction and sale of the constituent elements, or any one of such
21 elements;

22 18. "Produced water unit" means the specific area of land
23 designated by order of the Commission for the commercial extraction
24 and sale of constituent elements, or any one of such elements, from

1 produced water. The Commission, based upon the facts and
2 circumstances, shall determine the size and shape of any produced
3 water unit. Unless a larger size unit is deemed appropriate under
4 the facts and circumstances, the Commission shall not unitize an
5 area that exceeds the size of the spacing or drilling unit of the
6 associated oil or gas well from which the produced water is derived.
7 Each such produced water unit shall be limited to the same common
8 source or sources of supply as that of the associated oil or gas
9 well from which produced water is being received for the extraction
10 of constituent elements of such brine. Furthermore, an applicant
11 may seek to create two or more produced water units by and through
12 the filing of a single Commission case. If the Commission has not
13 previously established a drilling or spacing unit for the oil or gas
14 well or wells from which the produced water is derived, the
15 Commission shall in its discretion determine the size and shape of
16 the produced water unit, taking into consideration all facts and
17 circumstances including, but not limited to, the economics of
18 collection, transportation, and processing produced water to recover
19 any extracted constituent element;

20 19. "Recycled water" means produced water that has been
21 reconditioned or treated by mechanical or chemical processes into a
22 reusable form;

23 20. "Recycler" means a person approved and authorized by the
24 Commission who receives produced water, for the purpose of saving,

1 extracting, reconditioning, or treating the same by mechanical or
2 chemical processes into a reusable form;

3 21. "Recycling waste" means the noncommercial by-products or
4 residual liquids or solid materials that remain after the recycling
5 or extraction process;

6 22. "Solution gas" means all gas produced from brine wells from
7 the brine common source of supply within the brine production unit
8 area; and

9 23. "Solution gas owner" means any person entitled to share in
10 the proceeds from the sale of solution gas.

11 SECTION 3. AMENDATORY 17 O.S. 2021, Section 503, is
12 amended to read as follows:

13 Section 503. A. The Corporation Commission is hereby vested
14 with jurisdiction over the following:

15 1. The drilling for ~~and~~ or production of brine for commercial
16 purposes;

17 2. Class V injection wells used for the injection or disposal
18 of mineral brines as defined in the federal Safe Drinking Water Act
19 and 40 ~~CFR~~ C.F.R., Part 146; and

20 3. Class V wells used to inject spent brine into the same
21 formation from which it was withdrawn after extraction of halogens
22 or their salts as defined in 40 ~~CFR~~ C.F.R., Part 146.

23 B. The Commission may promulgate ~~such~~ rules that:
24

1 1. ~~As are~~ Are reasonably necessary to effectuate the purposes
2 of ~~this act~~ the Oklahoma Brine Development Act, including rules
3 governing the drilling of production, injection, or disposal wells
4 and the injection of effluent into underground formations; and

5 2. ~~To ensure~~ Ensure that the drilling, casing, and plugging of
6 wells is done in such a manner as to prevent the escape of brine and
7 effluent from one formation to another and to prevent the pollution
8 of fresh water supplies throughout the state.

9 C. The enforcement and adherence to the Oklahoma Brine
10 Development Act shall not apply to nor shall the Corporation
11 Commission have jurisdiction over Class I, III, IV, or V wells
12 regulated by the Department of Environmental Quality pursuant to the
13 federal Safe Drinking Water Act and 40 ~~CFR~~ C.F.R., Parts 144 through
14 148, inclusive, and the Oklahoma Environmental Quality Act.

15 SECTION 4. AMENDATORY 17 O.S. 2021, Section 504, is
16 amended to read as follows:

17 Section 504. A. A party desiring to unitize brine or produced
18 water rights shall file with the Corporation Commission an
19 application setting forth a description of the proposed brine
20 production unit or produced water unit area with a map or plat
21 thereof attached. The application shall allege the existence of the
22 facts required to be found by the Commission as provided in Section
23 ~~7~~ 506 of this ~~act~~ title. The application shall set forth the name
24 and address of each brine owner within the area affected by the

1 application. Each such person shall be a respondent to the
2 application. In an application to enlarge the brine production unit
3 or produced water unit area, brine owners within the existing unit
4 and brine owners in the area to be added to the unit shall be
5 respondents to the application.

6 B. In the event the brine ~~sought to be unitized~~ in a proposed
7 brine production unit is found in association with solution gas, the
8 application shall set forth the name and address of each solution
9 gas owner within the area affected by the application. Each such
10 person shall be a respondent to the application. In an application
11 to enlarge the brine production unit area, solution gas owners
12 within the existing brine production unit and solution gas owners in
13 the area to be added to the brine production unit shall be
14 respondents to the application.

15 C. Every application to establish a brine production unit or
16 produced water unit shall have attached thereto a recommended plan
17 of unitization applicable to the proposed unit area.

18 SECTION 5. AMENDATORY 17 O.S. 2021, Section 506, is
19 amended to read as follows:

20 Section 506. A. If, after proper application and notice, the
21 Commission in its hearing shall find by substantial evidence that:

22 1. There exists a common source of supply or prospective common
23 source of supply for brine or produced water;

24

1 2. Unitized management, operation, and further development of
2 the common source of supply for brine or produced water from oil or
3 gas wells is reasonably necessary in order to effectively develop
4 the brine ~~common source of supply~~ and allow for the extraction of
5 its constituent elements;

6 3. Unitized operation as applied to such common source of
7 supply or produced water is feasible and will prevent waste and,
8 with reasonable probability, will result in greater ultimate
9 recovery of brine and its constituent parts;

10 4. Such unitization is for the common good and will result in
11 the general advantage of the owners of the brine rights within the
12 proposed brine production unit or produced water unit and will
13 protect the correlative rights of the owners within the common
14 source of supply or produced water; and

15 5. The creation of a brine production unit or produced water
16 unit will accomplish one or more of the following:

- 17 a. avoid the drilling of unnecessary wells,
- 18 b. prevent waste,
- 19 c. protect correlative rights, ~~or~~
- 20 d. increase the ultimate recovery of brine from the
21 common source of supply and unit covered by the
22 application, or
- 23 e. allow recovery and extraction of constituent elements
24 from produced water,

1 the Commission shall make a finding to that effect and enter an
2 order creating the unit, and requiring unitized operation of the
3 prospective common source of supply or portion thereof described in
4 the order.

5 B. If the Commission in its hearing shall find by substantial
6 evidence that:

7 1. The proposed unit is a brine production unit and not a
8 produced water unit;

9 2. Solution gas exists within the common source of supply or
10 prospective common source of supply;

11 ~~2.~~ 3. The production of brine is impossible or impractical
12 without also producing the solution gas; and

13 ~~3.~~ 4. The unitization of the brine common source of supply is
14 impractical or impossible without also unitizing the associated
15 solution gas,

16 the Commission shall make a finding to that effect and shall further
17 provide in its order for the unitization of the solution gas within
18 the brine production unit area.

19 C. Orders of the Commission entered pursuant to Section 87.1 of
20 Title 52 of the Oklahoma Statutes establishing drilling and spacing
21 units for the production of oil, gas, or oil and gas shall not be
22 applicable to the drilling of brine wells ~~and~~ or the production of
23 solution gas from a brine production unit established by an order
24 issued pursuant to ~~this act~~ the Oklahoma Brine Development Act.

1 However, such drilling and spacing orders shall remain applicable to
2 oil or gas wells and associated oil and gas production and shall
3 serve as general nonmandatory guidelines for establishing the size,
4 shape, and common source of supply of any produced water unit
5 established under the Oklahoma Brine Development Act.

6 SECTION 6. AMENDATORY 17 O.S. 2021, Section 507, is
7 amended to read as follows:

8 Section 507. A. The order of the Corporation Commission shall
9 define the area of the common source or sources of supply or portion
10 thereof to be included within the brine production unit or produced
11 water unit area. ~~Each unit and unit area shall be limited to all or~~
12 ~~a portion of a single common source of supply~~ Except where a larger
13 unit is shown to be reasonable under the facts and circumstances
14 presented, the Commission may authorize the unit area to be of the
15 same size and shape as the units authorized by the Commission for
16 the associated oil and gas production.

17 B. Brine owners within the brine production unit shall share in
18 the production of brine in the proportion that their acreage bears
19 to total acreage within the unit, unless the Commission, after
20 notice and hearing, shall provide for another method in the unit
21 plan. Solution gas owners within the brine production unit shall
22 share in production of solution gas in the proportion that their
23 acreage bears to total acreage in the unit, unless the Commission,

1 after notice and hearing, shall provide for another method in the
2 unit plan.

3 C. Brine owners within the produced water unit shall share in
4 the production of produced water in the proportion that their
5 acreage bears to total acreage within the unit. The gross
6 production from each produced water unit shall be measured by the
7 total volume of produced water derived from the associated oil or
8 gas well or wells prior to the extraction of any constituent
9 elements and not by any other metric.

10 SECTION 7. AMENDATORY 17 O.S. 2021, Section 508, is
11 amended to read as follows:

12 Section 508. A. The plan of unitization for each such brine
13 production unit or produced water unit ~~and unit area~~ shall be one
14 suited to the needs and requirements of the particular unit
15 dependent upon the facts and conditions found to exist with respect
16 thereto. In addition to such other terms, provisions, conditions,
17 and requirements found by the Corporation Commission to be
18 reasonably necessary or proper to effectuate or accomplish the
19 purpose of ~~this act~~ the Oklahoma Brine Development Act, and subject
20 to the further requirements hereof, each such plan of unitization
21 shall contain fair, reasonable, and equitable provisions for:

22 1. The efficient unitized management or control of further
23 development and operation of the brine production unit or produced
24 water unit area. Under ~~such~~ the plan, the actual operations of the

1 unit shall be carried on by one of the owners of the right to drill
2 for and produce brine within the unit area as unit operator or in
3 the case of produced water associated with oil and gas production,
4 by the operator of the produced water unit approved by the
5 Commission. The designation of unit operator shall be by majority
6 vote of the owners of the right to drill for and produce brine in
7 the unit in accordance with their acreage ownership in the unit or
8 as designated by the Commission in the case of produced water
9 associated with oil and gas production;

10 2. The method and circumstances under which brine or effluent
11 from the unit, or from any other source, may be injected into the
12 common source of supply under the unit area or into other
13 formations;

14 3. The fair, just, and reasonable compensation to be awarded to
15 any owner within the brine production unit or produced water unit
16 who does not wish to participate in development of the unit by
17 paying such owner's share of unit costs;

18 4. The fair, just, and reasonable manner of participation for
19 any owner desiring to participate in the development of the brine
20 production unit or produced water unit by paying such ~~owners~~ owner's
21 share of unit costs;

22 5. The fair, just, and reasonable allocation and distribution
23 to each owner and the value of such owner's share of the brine,
24

1 including the usable resources extracted from the brine, and
2 solution gas, if any, produced from the unit;

3 6. The procedure and basis upon which wells, equipment, and
4 other properties of the owners within the brine production unit or
5 produced water unit area are to be taken over and used for unit
6 operations, including the method of arriving at the compensation
7 therefor, or for otherwise proportionately equalizing the investment
8 of the several owners in the unit;

9 7. The method of apportioning costs of development and
10 operation between owners of brine and owners of solution gas, if
11 solution gas has also been unitized;

12 8. The time when the plan of unitization shall become
13 effective; and

14 9. The time when and conditions under which the unit shall or
15 may be dissolved and all affairs concluded.

16 B. No order of the Commission creating a brine production unit
17 and prescribing the plan of unitization applicable ~~thereto~~ to the
18 brine production unit shall become effective unless and until the
19 plan of unitization has been signed, or in writing ratified or
20 approved by record owners of the right to drill of not less than
21 fifty-five percent (55%) of the brine production unit area affected
22 thereby and by owners of record of not less than fifty-five percent
23 (55%) (exclusive of royalty interest owned by lessees or
24 subsidiaries of any lessee) of the royalty interest in and to the

1 brine production unit area and the Commission has made a finding
2 either in the order creating the unit or in a supplemental order
3 that the plan of unitization has been so signed, ratified, or
4 approved by ~~lessees and royalty~~ brine owners of record owning the
5 required percentage interest in and to the brine production unit
6 area. Provided, however, in any instance where a ~~royalty~~ brine
7 owner has, through lease or other agreement, previously authorized
8 pooling or unitization of a size equal to or larger than the size
9 specified in the Commission order, ~~said~~ such lease or other
10 agreement shall be deemed to be ~~such royalty~~ the brine owner's
11 authorization to unitize, and no additional signature, ratification,
12 or approval shall be necessary from such owner, unless the lease
13 provides for a different production sharing formula than set out in
14 the plan of unitization. Further provided, however, in any instance
15 where a ~~royalty owner has~~ the brine owners of record have, through
16 lease or other agreement, previously consented to have the unit
17 boundaries and the allocation formula established by the Commission,
18 ~~said~~ such lease or other agreement shall be deemed to be ~~such~~
19 ~~royalty owner's~~ the brine owners' authorization to unitize, and no
20 additional signature, ratification, or approval shall be necessary
21 from such ~~owner~~ owners. Where the plan of unitization has not been
22 so signed, ratified, or approved by ~~lessees and royalty~~ brine owners
23 of record owning the required percentage interest in and to the
24 brine production unit area at the time the order creating the unit

1 is made, the Commission shall hold such additional and supplemental
2 hearings as may be requested or required to determine if and when
3 the plan of unitization has been so signed, ratified, or approved by
4 ~~lessees and royalty~~ brine owners of record owning the required
5 percentage interest in and to the brine production unit area and
6 shall, in respect to such hearings, make and enter a finding of its
7 determination in such regard. In the event ~~lessees or royalty~~ brine
8 owners, ~~or either,~~ of record owning the required percentage interest
9 in and to the brine production unit area have not so signed,
10 ratified, or approved the plan of unitization within a period of six
11 (6) months from and after the date on which the order creating the
12 brine production unit is made, the order creating the unit shall be
13 deemed vacated and of no force and effect. The provisions of this
14 subsection are hereby expressly made inapplicable to the formation
15 of a produced water unit.

16 C. A participating brine owner shall have a one-time election
17 to sell, and any brine owner in the unit with brine refining
18 equipment shall have the obligation to buy, the brine produced from
19 the unit at the value determined by the Commission; provided,
20 however, nothing herein shall require the purchasing brine owner to
21 purchase brine when it is not producing brine from the unit for its
22 own account.

23 D. 1. Upon the filing of an application for the establishment
24 of a produced water unit and prior to the Commission's adjudication

1 of such application, the proposed operator of the unit may seek
2 emergency relief at the Commission for the immediate production,
3 commercial extraction, and sale of constituent elements from
4 produced water derived from the associated oil or gas well, and the
5 Commission shall grant such relief upon a showing that such
6 emergency relief is reasonable and necessary under the established
7 facts and circumstances.

8 2. The proposed operator shall have the right to collect all
9 proceeds from the sale of brine or its constituent elements prior to
10 the entry of a final order establishing the produced water unit,
11 provided that a set royalty shall be held in suspense by the
12 proposed operator for the benefit of any unleased brine owners
13 within the proposed produced water unit until the Commission enters
14 a final order establishing the produced water unit. Such royalty
15 rate shall be set at the prevailing fair market value rate, which
16 shall be determined by evidence of the highest royalty paid for
17 arm's length negotiated brine leases within the produced water unit
18 and any other adjoining produced water unit.

19 SECTION 8. AMENDATORY 17 O.S. 2021, Section 510, is
20 amended to read as follows:

21 Section 510. A. The Corporation Commission shall have
22 jurisdiction to increase the size of an existing brine production
23 unit or produced water unit area where it is shown, upon proper
24 application, notice, and hearing, that:

1 1. Land adjacent to the existing unit is underlain by the same
2 common source of supply as that found within the unit area; ~~and~~

3 2. Inclusion of the additional land will ~~either~~:

4 a. increase unit efficiency, ~~or~~

5 b. result in greater ultimate recovery of brine or
6 produced water, or

7 c. prevent waste; ~~and~~

8 3. Inclusion of the additional land is fair, just, and
9 reasonable, both to parties owning brine or produced water interests
10 in the additional land and to parties owning interests in the
11 existing unit; and

12 4. The requirements of Section ~~9~~ 508 of this ~~act~~ title have
13 been met.

14 B. The Commission shall have jurisdiction to decrease the size
15 of an existing brine production unit or produced water unit where it
16 is shown, upon proper application, notice, and hearing, that the
17 land to be excluded is of no value to the unit because:

18 1. It is not underlain by the common source of supply; ~~and~~

19 2. Its presence does not contribute to more efficient unit
20 operations, by providing the site for an injection well or wells, or
21 by assisting in the conduct of waterflood operations, or by
22 otherwise increasing unit efficiency; and

23 3. Exclusion of the land is fair, just, and reasonable.
24

1 SECTION 9. AMENDATORY 17 O.S. 2021, Section 516, is
2 amended to read as follows:

3 Section 516. Sections ~~2~~ 501 through ~~46~~ 515 of this ~~act~~ title
4 shall not have any effect on any existing brine, solution gas, or
5 brine and solution gas units which have been created voluntarily or
6 by a judicial decree to the extent such unit was established as of
7 ~~the date of this act~~ September 1, 1990. Any existing brine or brine
8 and solution gas unit may be expanded using the provisions of ~~this~~
9 ~~act~~ the Oklahoma Brine Development Act.

10 SECTION 10. AMENDATORY 17 O.S. 2021, Section 517, is
11 amended to read as follows:

12 Section 517. A. The proceeds derived from the sale of brine,
13 produced water, solution gas, or brine and solution gas production
14 shall be paid to persons legally entitled thereto, commencing no
15 later than six (6) months after the date of first sale, and
16 thereafter no later than sixty (60) days after the end of the
17 calendar month within which proceeds are received for subsequent
18 production. In those instances where proceeds are not received for
19 disposition of brine, produced water, solution gas, or brine and
20 solution gas production due to venting, flaring, use for operations,
21 nonpayment from purchasers, or any other cause, the time periods
22 previously specified within which any required payment shall be paid
23 to the persons legally entitled thereto shall be measured from the
24 date on which such venting, flaring, use for operations, nonpayment,

1 or other event occurred. Provided, proceeds from the sale of brine,
2 produced water, and solution gas from lands covered by a pending
3 application for unitization pursuant to ~~this act~~ the Oklahoma Brine
4 Development Act shall be paid to persons legally entitled thereto
5 within six (6) months from the entry of a final order of
6 unitization, together with interest thereon at the rate of six
7 percent (6%) per annum to be compounded annually, calculated from
8 the date of first sale after the filing of the application for
9 unitization. Such payment is to be made to persons entitled thereto
10 by the operator of such production. Provided, such operator may
11 remit to the persons entitled to such proceeds from production
12 semiannually for the aggregate of six (6) months' accumulation of
13 monthly proceeds of amounts less than Twenty-five Dollars (\$25.00).
14 Further provided, that any delay in determining the persons legally
15 entitled to an interest in such proceeds from production caused by
16 unmarketable title to such interest shall not affect payments to
17 persons whose title is marketable. Provided, however, that in those
18 instances where such proceeds cannot be paid because the title
19 thereto is not marketable, the operator of such production shall
20 cause all proceeds due such interest to earn interest at the rate of
21 six percent (6%) per annum to be compounded annually, calculated
22 from the last day of the production month, until such time as the
23 title to such interest has been perfected. Marketability of title
24

shall be determined in accordance with the then current title examination standards of the Oklahoma Bar Association.

B. The following information shall be included with each payment made to a brine owner from the sale of brine:

1. Unit identification;

2. Month and year of sales included in the payment;

3. Total volume of production from the unit of brine, produced water, or solution gas and, in the case of a brine production unit, the concentration of chemical substances contained therein and volumes extracted therefrom;

4. Owner's interest, expressed as a decimal, in production from the unit;

5. Total value of extracted chemical substances and solution gas, including the price per unit of measurement at which the products were sold;

6. Owner's share of the total value of sales prior to any deductions;

7. Owner's share of the total value of sales after any deductions; and

8. A specific detailed listing of the amount and purpose of any deductions, including, but not limited to, BTU adjustments and taxes, from the gross proceeds due to the owner.

C. Any operator that violates this section shall be liable to the persons legally entitled to the proceeds from production for the

1 unpaid amount of such proceeds with interest thereon at the rate of
2 twelve percent (12%) per annum to be compounded annually, calculated
3 from the last day of the production month.

4 D. The district court for the county in which the unit is
5 located shall have jurisdiction over all proceedings brought
6 pursuant to this section. The prevailing party in any proceeding
7 brought pursuant to this section shall be entitled to recover any
8 court costs and reasonable expert witness and ~~attorney's~~ attorney
9 fees.

10 SECTION 11. AMENDATORY 17 O.S. 2021, Section 519, is
11 amended to read as follows:

12 Section 519. Before entering upon a site for brine well
13 drilling, except in instances where there are non-state resident
14 surface owners, non-state resident surface tenants, unknown heirs,
15 imperfect titles, surface owners, or surface tenants whose
16 whereabouts cannot be ascertained with reasonable diligence, the
17 operator shall give to the surface owner a written notice of his or
18 her intent to drill containing a designation of the proposed
19 location and the approximate date that the operator proposes to
20 commence drilling.

21 Such notice shall be given in writing by certified mail to the
22 surface owner. If the operator makes an affidavit that he or she
23 has conducted a search with reasonable diligence and the whereabouts
24 of the surface owner cannot be ascertained or such notice cannot be

1 delivered, then constructive notice of the intent to drill may be
2 given in the same manner as provided for the notice of proceedings
3 to appoint appraisers set forth in Section ~~22~~ 521 of this ~~act~~ title.

4 Within five (5) days of the date of delivery or service of the
5 notice of intent to drill, it shall be the duty of the operator and
6 the surface owner to enter into ~~good-faith~~ good-faith negotiations
7 to determine the surface damages.

8 The provisions of Sections 519 through 522 of this title are
9 hereby expressly made inapplicable to the formation of a produced
10 water unit.

11 SECTION 12. This act shall become effective November 1, 2026.

12 Passed the Senate the 16th day of March, 2026.

13
14 _____
15 Presiding Officer of the Senate

16 Passed the House of Representatives the ____ day of _____,
17 2026.

18
19 _____
20 Presiding Officer of the House
21 of Representatives
22
23
24